

Pearson Edexcel Level 3 GCE

Practice Paper (Hard)

Economics A

Advanced Subsidiary

PAPER 1: Introduction to Markets and Market Failure

Time allowed: 1 hour 30 minutes

Total marks: 80

Calculators: May be used

Instructions

- Use black ink or ball-point pen.
- There are two sections in this question paper.
- Answer ALL questions in Section A.
- In Section B, answer ALL of questions 6(a) to 6(e) and ONE question from 6(f) or 6(g).
- Answer the questions in the spaces provided.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 25 minutes on this section.

1 A nation's wealth is created using four factors of production: land, labour, capital and enterprise. In recent years, the rapid growth of artificial intelligence (AI) has been described as a new industrial revolution, fuelled by entrepreneurs developing new business models and large-scale capital investment in data centres.

(a) With reference to the information provided, explain the role of **enterprise** as a factor of production. **(3)**

(b) Which **one** of the following is the best example of **land** as a factor of production used to build a data centre? **(1)**

- A A fibre-optic cable connecting the building to the internet
- B A site of unused farmland on which the data centre is built
- C An engineer designing the cooling system
- D A high-performance computer server installed in the building

(Total for Question 1 = 4 marks)

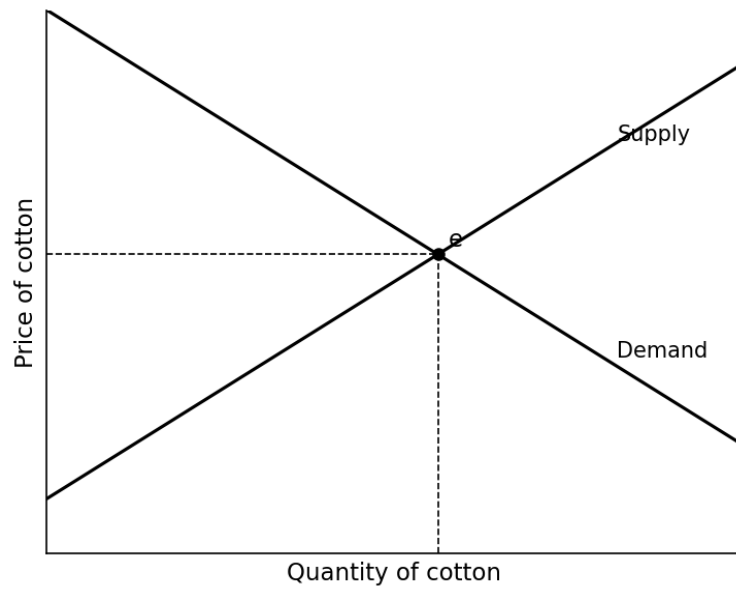
2 In 2022, the war in Ukraine disrupted the global supply of cotton, as Russia and Ukraine together account for around 12% of world cotton exports. At the same time, retailers reported that consumer demand for cotton clothing in Western markets continued to grow as fashion trends shifted toward natural fibres.

(a) Define the term '**excess demand**'. **(1)**

(b) Which **one** of the following is most likely to cause an **inward shift** of the demand curve for cotton clothing? **(1)**

- A A fall in the price of polyester, a substitute for cotton
- B A rise in the price of cotton
- C A successful marketing campaign for cotton clothing
- D An increase in household incomes

(c) Annotate the diagram below to show the combined effect of the war in Ukraine and rising consumer demand on the world market for cotton. **(2)**



(Total for Question 2 = 4 marks)

3 South Korea has shifted progressively from a heavily planned post-war economy towards a free market system. Today, large private conglomerates such as Samsung and Hyundai dominate production, but the South Korean government continues to intervene in healthcare, education and strategic industries.

- (a) Which **one** of the following statements about a **free market economy** is true? **(1)**
- A All resources are allocated by central planners
 - B Consumer choice plays no role in production decisions
 - C Resources are allocated primarily through the price mechanism
 - D The government provides all goods and services

Friedrich Hayek argued that the price mechanism in a free market economy is the most efficient way of communicating information about the preferences of millions of consumers and the costs faced by producers.

- (b) With reference to the information above, explain **one** function of the price mechanism in a free market economy. **(3)**

(Total for Question 3 = 4 marks)

4

Statement 1

In 2023, the textile and fashion industry accounted for approximately 10% of global greenhouse gas emissions.

Statement 2

Consumers should pay a higher price for clothing in order to reduce the environmental impact of fast fashion.

- (a) Which **one** of the following best describes the two statements above? **(1)**

	Statement 1	Statement 2
■ A	Normative	Normative
■ B	Normative	Positive
■ C	Positive	Normative
■ D	Positive	Positive

In 2024, a major UK retailer invested £45 million in a new textile recycling facility. As a result, the same retailer was unable to fund a planned expansion of its physical stores in northern England.

(b) With reference to the information above, explain what is meant by '**opportunity cost**'.
(3)

(Total for Question 4 = 4 marks)

5 Tesla and BYD are major competitors in the global electric vehicle (EV) market. In March 2024, BYD reduced the average price of its compact EVs in the UK by 8%. Over the following six months, sales of Tesla's Model 3 in the UK fell from 12,500 units to 10,400 units.

(a) *Ceteris paribus*, calculate the cross elasticity of demand for the Tesla Model 3 with respect to the price of BYD EVs. You are advised to show your working. **(2)**

(b) Define the term '**substitute good**'. **(1)**

(c) Which **one** of the following pairs of products would most likely have a **negative cross elasticity of demand**? **(1)**

- A Bread and butter
- B Coca-Cola and Pepsi
- C Petrol cars and electric cars
- D Smartphones and tablet computers

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figure 1 and the following extracts (A, B and C) before answering Question 6.

Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour 5 minutes on this section.

Question 6

The fast fashion industry and textile waste in the UK

Figure 1: Estimated UK textile waste sent to landfill or incineration (thousand tonnes), 2016–2023

Year	2016	2017	2018	2019	2020	2021	2022	2023
Textile waste (000s tonnes)	920	955	988	1010	880	1060	1110	1170

Extract A

The rise of fast fashion

Fast fashion retailers including Shein, Boohoo and Pretty Little Thing have transformed the clothing market over the past decade. By producing inexpensive garments quickly and in vast quantities, these companies have made it possible for UK consumers to buy a new outfit for a single occasion and discard it shortly afterwards. The average British consumer now buys 26 kg of new clothing each year — the highest figure in Europe.

Environmental campaigners argue that the industry is in urgent need of reform. Garment production is water-intensive, generates microplastic pollution, and is responsible for approximately 8% of global greenhouse gas emissions. Yet many shoppers remain unaware of the environmental footprint of their purchases. UK textile waste sent to landfill or incineration has continued to rise sharply, as shown in Figure 1.

Some specialist retailers have launched 'clothing-as-a-service' rental subscriptions, in which consumers pay a monthly fee to borrow garments rather than owning them. With UK real household incomes falling by 3.4% in 2024, sales of clothing rental subscriptions are forecast to rise from 145,000 to 195,000 this year.

(Source adapted from publicly available data)

Extract B

An Extended Producer Responsibility scheme for textiles?

In 2024, the UK Government consulted on a possible Extended Producer Responsibility (EPR) scheme for textiles. Under the proposal, clothing retailers would be required to pay a levy of approximately £180 per tonne of clothing they place on the UK market, with the proceeds used to fund collection and recycling infrastructure. Retailers whose ranges contain more than 60% recycled or organic fibres would be exempt.

Industry body UK Fashion and Textiles warned of unintended consequences. "Some retailers will simply switch to fibres that count as 'recycled' on paper but are no less polluting in practice. Others will pass the levy on to consumers, fuelling inflationary pressure across the supply chain. Smaller retailers, which already face tight margins, may exit the UK market altogether."

Retailers selling clothing online, which already account for 38% of the UK clothing market, would be the most affected by the levy. Some have warned that they may respond by increasing delivery charges or by stocking fewer product lines.

(Source adapted from publicly available data)

Extract C

Slowing the throwaway habit

Behavioural research conducted with UK consumers tested several interventions designed to encourage more sustainable clothing choices. Mandatory care labels stating the expected lifespan of a garment in number of washes increased the share of consumers buying durable basic items by 4.1%. Labels stating the kilograms of CO₂ emitted during production increased the share by 2.8%.

In-store repair stations, where customers could have garments mended free of charge while they shopped, raised customer retention rates by 5.2%. Free pre-paid take-back envelopes for unwanted clothing led to a 3.7% increase in the share of garments being recycled rather than thrown away. However, generic environmental advertising campaigns produced no measurable change in purchasing behaviour.

"What we consistently find is that small, well-designed nudges, when combined, create much greater behavioural change than any single high-profile campaign," said Professor Anika Singh of the Sustainable Consumption Institute.

(Source adapted from publicly available data)

6 (a) Explain what is meant by 'unintended consequences' (Extract B, line 6) of the proposed Extended Producer Responsibility scheme for textiles. **(5)**

(b) With reference to Extract A and your own knowledge, assess the view that consumers are behaving rationally when they continue to buy fast fashion despite its environmental impact. **(10)**

(c) With reference to Extract A, explain the likely numerical value for the income elasticity of demand for clothing rental subscriptions in the UK. **(4)**

(d) With reference to Extract C, explain how in-store repair stations and take-back envelopes may lead to a fall in demand for newly produced fast-fashion garments. **(6)**

(e) Discuss the likely private costs and external costs of the production and consumption of fast fashion clothing. **(15)**

EITHER

(f) Evaluate the likely impact of the proposed Extended Producer Responsibility levy on the UK clothing market. Use a diagram to support your answer. **(20)**

OR

(g) Evaluate methods of government intervention which could be used to reduce the market failure associated with fast fashion. Use a diagram to support your answer. **(20)**

Indicate which question you are answering by marking a cross in the box. Chosen question number: ☐ Question 6(f) ☐ Question 6(g)

(Total for Question 6 = 60 marks)
TOTAL FOR SECTION B = 60 MARKS
TOTAL FOR PAPER = 80 MARKS